

POLICY NUMBER: FP-OPSFIN-100

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Balance Sheet Account Reconciliations

To provide guidance regarding the process for the preparation, completion, and review of Hotel Balance Sheet account reconciliations

POLICY STATEMENT

An account reconciliation is the process of comparing information that exists in two systems or locations, analyzing differences and making corrections so that the information is accurate, complete and consistent in both locations. Differences resulting from transaction timing, adjustments or errors are identified as reconciling items.

Balance sheet accounts must be reconciled on a periodic and timely basis to verify that all items were correctly posted to the account. Without performing reconciliations, inaccurate recording of transactions may occur that would result in incorrect reporting and could impact the Property and/or Company's Financial Statements.

APPLICABILITY

All Owned & Operated Hotels (including Shared Service centers supporting these hotels). In some Shared Service models, the Centers of Excellence may follow the Corporate Balance Sheet account reconciliation policy & related guidelines.

EXCLUSIONS/EXCEPTIONS

No exclusions.

A. BALANCE SHEET PREPARATION

- 1) All Balance Sheet Accounts are to be reviewed for reasonableness during month-end close by the Finance Leader to ensure no errors are apparent.
- 2) Balance Sheet Account reconciliations must be prepared and approved no later than Business Day 20 of the subsequent month as evidenced by Management's signature and date on the reconciliation (Electronic Certification for Blackline Users).
- 3) Each reconciliation must have supporting documentation substantiating the account ending balance per the General Ledger and the Sub-Ledger(s). Any reconciling items must also be supported by documentation or cross referenced to the location of additional files on the reconciliation lead sheet. Examples of supporting documentation include, but are not limited to, the following:
 - a) Property Management System Reports
 - b) Accounts Payable Aging
 - c) Vacation Liability Report
 - d) Bank Statements
 - e) House Fund Schedule
 - f) Prepaid Records & Applicable Invoice Copies
 - g) Fixed Asset Ledger
 - h) Beverage Inventory Listing
 - i) Accounts requiring calculated balances (excel spreadsheet) should have either supporting schedules attached or reflect the calculations on the face of the reconciliation, including cross-reference to source documentation. An excel spreadsheet alone does not constitute complete supporting documentation.

All Balance Sheet accounts must be reconciled, regardless of balance. The only exception applies to zero balance accounts with absolutely no activity within the month (i.e., opening account balance is zero, no activity occurs within the month, and ending balance is zero).

B. BALANCE SHEET APPROVAL

- 1) The Team Member preparing and the Team Member approving the reconciliation **cannot be the same person.**
- 2) All Balance Sheet account reconciliations must include a lead sheet and be signed and dated by the Team Member preparing the reconciliation (if using Blackline this will be completed within the tool in the form of an electronic signature). The Finance Leader, or designee, reviewing and approving the reconciliation must sign and date (if using Blackline this will be completed within the tool in the form of an electronic signature) the reconciliation lead sheet and verify that:
 - a) The ending balance per the General Ledger must agree to the Sub-ledgers or source data
 - b) The account balance is substantiated by relevant back-up attached or cross-referenced to other locations / files
 - c) All activity is appropriate and all account balances are properly classified as assets or liabilities.
 - d) There should be no unresolved reconciling items carried from prior month. If there are unresolved reconciling items, these must be cleared within 60 days.
 - e) In the unlikely event that a reconciling variance is US\$250k or greater, management must investigate the nature of the difference and document a resolution plan within 5 business days from completion of the reconciliation.
- 3) As a best practice, reconciliations must be approved by the highest-ranking Finance Leader at the property.
- 4) If the Finance Leader must prepare a Balance Sheet reconciliation for any reason (e.g., staff on leave), then the ADOF or designated Finance reviewer must approve. If the ADOF or designated Finance reviewer has questions while reviewing and approving the Balance Sheet reconciliations, they should contact their Regional Finance Director.
- 5) If due to the size of the hotel or resource limitations, a Finance Leader **regularly** (i.e., extends beyond one quarter) prepares Balance Sheet account reconciliations, the following protocols must be followed:
 - i) The Finance Leader must submit and obtain a signed waiver as outlined in FP-OPSFIN-160 Policy Waivers
 - ii) And the Regional Finance Director (or designee as assigned by RFD) must review and subsequently approve a sample of the property's Balance Sheet account reconciliations on a quarterly basis.
- 6) Balance Sheet account reconciliations prepared by the Finance Leader and reviewed by the ADOF (or designated Finance reviewer) with an account balance greater than US\$500k **AND** that have reconciling items, must be submitted quarterly to the Regional Finance Director, who should evidence their review via signature and date. The approved Balance Sheet account reconciliation should be retained at the property.

C. BALANCE SHEET CHECKLIST / CERTIFICATION LOG

A system generated report (i.e., trial balance) encompassing the entire Balance Sheet must be maintained. The report must be used to ensure that all reconciliations have been completed and reviewed timely and must be signed and dated by the Finance Leader, or designee, by business day 20.

Blackline Users are to use the Certification Log Report which provides a listing of all accounts along with the preparer and approver, as well as the certification dates. The report can be downloaded to PDF and be either electronically signed or printed / signed and retained in either Blackline or as a hardcopy.

DEFINITIONS

TERM/ACRONYM	DEFINITION
Finance Leader	Ranking Accounting / Finance representative for the property (i.e., DOF, Controller, or Finance Manager).
Lead Sheet	The cover sheet showing all required balance sheet account reconciliation information (i.e., GL balance, reconciling items, sub-ledger balance, signatures and dates).
Regional Finance Director	Regional Team Member responsible for the Accounting/Finance functions of a set of Hotels. Property Finance Leader has a direct or indirect reporting relationship to this individual.